
ITALY 2001

1. Overview of the system

The Italian unemployment benefit system is a complex one, given the differences in eligibility conditions, amount and duration of the treatments existing among the various schemes. The unemployed may receive a contributory unemployment insurance benefit which in some cases amounts to 40% of previous earnings for a maximum of six months and in other cases to 80% of previous earnings for 4 years (64% from the second year). In the two-year period 2000-2001 the main innovation has been introduced in the ordinary unemployment benefit -- the general insurance based scheme: since December 2000 the amount of this benefit has been increased from 30% of previous earnings to 40% and, only in the case of over-50 recipients, the benefit duration has been extended from six to nine months. The new government, in power since June 2001, has announced a general reform and a rationalization of the entire system in the next future and the subject has been dealt with in the social pact (Patto per l'Italia) signed among social partners (but one trade union) and the government in July 2002. Some detailed changes have been envisaged for 2003.

For what concerns the social assistance programmes, in Italy there is not a general minimum income scheme. The existing minimum income support (*reddito minimo di inserimento* -- RMI), was introduced in 1998 under a biennial trial only in 39 out of about 8000 Italian municipalities. The trial has been extended in 2001 to other 266 municipalities for another two-year period. The Parliament has decided to terminate this programme at the end of the trial, without any further extension¹. A new system, still to be specified and aiming at avoiding clashes with employment incentives and increasing the role and responsibilities of local authorities, has been envisaged for in the Patto per l'Italia.. With regard to family benefits, the most important ones -- the *assegni per il nucleo familiare* (family allowances) -- are income-based and are reserved to employees (or benefit recipients, including pensioners, who are former employees). There are also universal family benefits -- the maternity allowance and the allowance to households with at least three children -- introduced in 1998 and reinforced with the Budget Law for 2001; these benefits are means-tested through an income and wealth measure known as the *Indicator of Economic Situation* of the household (in Italian, *indicatore della situazione economica* or, shortly, *ISE*) introduced in 1998 as a general instrument to evaluate social benefit eligibility.²

¹ The trial will be terminated at the end of 2002, except for municipalities in which the programme started later during 2001: in these cases the two-years basis of the trial will be maintained, ending in 2003.

2 . The *ISE*, reformed during 2000, corresponds to household taxable income (including income from financial assets minus a deduction for households living in rented houses) plus family net wealth as obtained by summing up real estate values (home ownership could be excluded up to a maximum of

The tax unit is the individual (partners are taxed separately). The national currency is the Lire (ITL). The 2001 AW earnings level is 42 950 Italian Lire (divided by 1000). All net incomes, replacement rates and other figures in this report are based on the Italian tax and benefit system in effect as of 1 July 2001.

2. Unemployment insurance

There are three main types of unemployment benefits: a) Ordinary unemployment benefits, b) Wage supplementation funds (known as *Cassa Integrazione Guadagni* – henceforth CIG, either Ordinary or Special) and c) Mobility benefits. The calculations in this report present different figures for ordinary unemployment benefits and Mobility benefits.

Conditions for receipt

Unemployment insurance is compulsory for private sector employees.

- a) Ordinary unemployment benefits are paid to workers individually laid off in the private sector or collectively laid off but not eligible for other benefits -- excluding young workers in vocational training -- who have paid contributions for at least 52 weeks during the two-year period preceding unemployment (ordinary requirement). Some benefits may also be reaped by those who worked at least 78 days over the last year (reduced requirement). The latter variant actually represents a different and peculiar scheme, as the duration of the benefits is unrelated to the current labour market status – the allowance is paid the year subsequent that of reduced work – and is equal to the duration of the employment spell up to a maximum of six months, while the amount of the benefit is equal to the 30% (instead of the 40%) of the previous wage. All in all, the reduced requirement scheme resembles an ex-post compensation for who has worked a limited amount of time (provided a 78 days in the year threshold has been overcome). Particular and more favourable conditions hold for workers in the agricultural and in the building sector. In agriculture, to some extent the actual use of the benefits very much resembles that above illustrated for the reduced requirement scheme. Eligible people must be fit and available for work (but see above for the reduced requirement scheme).
- b) CIG (CIGo and CIGs – Ordinary and Special wage supplementation funds, respectively). Ordinary benefits are paid to workers for non-worked hours due to temporary reduction or suspension of the activity. Special benefits are paid when the suspension of the activity is not temporary, but is due to sector -- or area -- specific firm restructuring. Workers of small manufacturing firms (below 15 employees) and of most service activities are excluded from

ITL 100 million) and financial assets (minus a deduction of ITL 30 million) of all family members. The family net wealth is multiplied by a coefficient of .20. The resulting value is corrected using the equivalence scale presented in Table 2 below: the *ISE* corrected by the equivalence scale is called *ISEE* (*indicatore della situazione economica equivalente*). The *ISE* is based on social and demographic conditions and was introduced in 1998 as a general instrument of selection of social benefit eligibility. Concerning the *RMI*, the *ISE* is used only for the computation of the benefit via the equivalence scale and not for means testing (see point 4). The *ISE* was under trial in the first two year of implementation; the reform in May 2000 introduced a fixed coefficient of 20% for family net wealth evaluation and various changes in the system of deductions.

CIGs. In both cases, people on these schemes have (at least formally) an on-going work relationship, as their contracts have not been terminated.

- c) Mobility benefits are provided in case of collective dismissals by firms eligible for benefit from the CIGs and in case of individual dismissal of workers already in CIGs or under bankruptcy proceedings.³

Workers receiving mobility benefits and CIGs are eligible to Social Useful Jobs (*Lavori Socialmente Utili* or *LSU*), directly created by the State and usually lasting 12 months (albeit prorogation for another 12 months is possible). Workers receiving mobility benefits have to compulsorily accept these jobs if they are asked to, otherwise they lose their benefit. The LSU programs are however under progressive dismantling.

If employed in *LSU*, workers receiving CIGs and mobility benefits maintain their benefit until it elapses. Afterwards, if they still remained employed in *LSU*, they will receive a benefit of ITL 878 337 (increased to euro 463.35 -- corresponding to ITL 897 171 -- in year 2002) per month, which is the amount paid for *LSU* if the workers involved are not receiving any other benefit. Workers receiving mobility and CIGs are not the only ones eligible for *LSU*. Unemployed workers with an unemployment spell of at least two years which usually do not receive any income support are also eligible. No new *LSU* should be activated after 2002 and the existing ones should be terminated by the end of the year.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

- a) Ordinary unemployment benefits are 40 per cent of the average gross earnings received over the last three months, with a maximum benefit of ITL 1 471 235 per month (or ITL 8 827 410 for six months, which is the maximum duration for under-50s), raised to ITL 1 768 283 (ITL 10 609 698 for six months) for gross earnings exceeding ITL 3 182 908 per month. In the case of reduced requirements, the benefit amount to 30% of previous earnings with a maximum benefit of EUR 744.58 per month, increased to EUR 894.91 for gross earnings exceeding EUR 1610.84 per month.. Different amounts hold for workers in the agricultural and in the building sector.
- b) CIG (both Ordinary and Special) is 80 per cent of the average gross earnings paid for non-worked hours, with a maximum level of benefit equal to that of unemployment benefits.
- c) Mobility benefits equal CIGs for 12 months. They are reduced by 20 per cent after one year, with a maximum level of benefit equal to that of unemployment benefits.

3 . Generally, mobility benefits are limited to collective dismissals in the manufacturing sector excluding small firms.

2.2.2 *Income and earnings disregards*

These three benefits are not means-tested. Family benefits can be paid on top of them. It is not possible to receive a certain amount of earnings from work and still be receiving unemployment benefits except for the CIG schemes which intervene for work interruptions.

2.3 *Tax treatment of benefit*

All those benefits are taxable; only unemployment benefits are exempt from social security contributions. The tax credit for employees described in section 10.1.1.2 below applies as well to unemployment benefit, CIG and mobility benefit.

2.4 *Benefit duration*

- a) Ordinary unemployment benefits are paid on a 7-day week basis, for a maximum of 180 days, after a 7-day waiting period. For unemployed over-50 the duration is extended to nine months. In the case of reduced requirements, duration is equal to the number of days previously worked. Different durations hold for workers in the agricultural and in the building sector.
- b) CIGo (ordinary CIG) is usually paid for 13 weeks but it is possible to obtain some prorogation if the firm incurs in a reduction of activity for a longer period. In any case, CIGo cannot be paid for more than 12 months, whether consecutive or non-consecutive, over a period of two years.

CIGs (special CIG) is normally paid for 12 to 24 months (the length depending on the type of difficulties that the firm faces as well as on the restructuring strategy). There is a possibility to obtain some prorogation if restructuring lasts more than 24 months. In any case, CIGs cannot be paid for more than 36 months over 5 years.

- c) The duration of mobility benefits depends on the age of the recipient and on the location of the job. For instance, workers under 40 are entitled to this benefit for 12 or 24 months, respectively, according to whether they had been working in the Centre-North or the South of Italy. Conversely, the benefit duration is extended up to 36 or 48 months respectively for workers over 50 (see Table 1 below).

Table 1. Duration of mobility benefits by age of the worker and geographical location *

age	location	
	Center - North	Mezzogiorno
< 40	1 year	2 years
40 – 49	2 years	3 years
> 49	3 years	4 years

* In any case, duration cannot be longer than length of tenure in the last occupation.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

2.5.2 *Older workers*

Longer durations of the benefits are established for older workers (see 2.4 a) and c))

3. *Unemployment assistance*

None.

4. *Social assistance*

There is no universal income support in Italy, except for a few social benefit schemes (namely, social pensions and social allowances) which cover only people over 65 without other sources of income and for some benefits provided at local level in the absence of national guidelines.

A minimum income support (*reddito minimo di inserimento* -- RMI) was introduced in 1998 under trial in 39 (out of more than 8000) Italian municipalities. Although the trial has been initially extended in 2001 to other 266 municipalities, it will be terminated at the end of 2002. The information hereafter pertain to this scheme.

4.1 *Conditions for receipt*

The target groups of the RMI were all people/households in need or people considered at significant risk of social exclusion having remained in the country for at least 12 months if EU citizens (3 years if not EU citizens). For people with working capacity the benefit is conditional on either availability to accept a labour offer, on active labour search, on participation in training programmes, or on care activity towards children or disabled people within the family. Beneficiaries must be of working age and be registered at the public employment service.

The benefit raises the household's income to a given threshold, slightly below the poverty line, testing for the absence of any asset beside residential housing. The benefit is administered at the local level by municipalities.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

The RMI is a differential benefit, that is: the beneficiary receives an amount equal to the difference between the threshold and the household income. The household income corresponds to

taxable income and the household is supposed to have no income from real estate or financial assets with the exception of the residential home ownership, albeit its value must be below a threshold set by local administrations.

The benefit is equal to ITL 520 000 per month (ITL 6 760 million per year) for a single with no other income sources. Obviously, in this case the benefit equals the threshold. More generally, the benefit income lifts up the household income up to its threshold level.

This threshold rises with the number of family members according to an equivalence scale designed to be applied to the *Indicator of Economic Situation* of the household (*ISE*), even if the income concept used by the *ISE* – a general instrument of selection of social benefit eligibility, better described in footnote 2 – differs from that applied by the .

Table 2. Equivalence scale to be applied to the Indicator of Economic Situation (*ISE*)

Number of family members	Parameters
1	1
2	1.57
3	2.04
4	2.46
5	2.85*

*For households with more than 5 members, the parameter is increased by 0.35 for each member above the fifth.

Moreover, the parameters shown in Table 2 are increased by:

- 0.2 for lone parents with children;
- 0.5 for each disabled member of the household;
- 0.2 for couples with children, when both parents are working.

Source: Legislative Decree n. 109 of June 18, 1998.

Both the minimum income support and the corresponding threshold are indexed each year to the consumer price index (CPI).

4.2.2 *Income and earnings disregards*

The total household taxable income is considered. In addition, all other cash benefits granted to the family are included (i.e. family allowances are considered, though, by definition, they are not strictly considered part of the taxable income). Furthermore an earning disregard of 25 percent is applied to labour income, aimed at prompting income from work.

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration*

One year, though it may be renewed as long as the eligibility conditions are met.

4.5 *Treatment of particular groups*

The equivalence scale is modified whenever the family includes disabled members, lone parents and/or both working parents.

5. **Housing benefits**

In Italy housing policies are addressed both to those who can afford to buy a house (tax allowances for the entire amount of taxes on the imputed income deriving from home ownership (until 2000, there was a limit of ITL 1.8 million); 19%-tax credit on mortgage loan interests up to certain amount for first-time buyers; there are considerable rebates on property transfer taxes for first-time buyers; low interest loans which are means-tested and regulated by local legislation for first-time buyers) and to those who can only afford to rent a house (means-tested tax credits) .

Among the rent assistance provisions, we will focus on:

- fiscal measures on rents;
- rent subsidies for low-income people. *These subsidies are not included in our study for two reasons. First of all, all the eligible people are not covered. In Rome only 40% of people eligible according to the following requirements actually received the benefit in 2001. Secondly, benefit recipients are selected according to a rank until the exhaustion of funds allocated ex-ante to these subsidies.*
- rent-limiting legislation, mainly regulated at local level;
- controlled rents for State-owned dwellings.

There is no difference between national rules for pensioners and recipients in their income ages, with the exception of some benefits provided at local level and addressed to the poor and the elderly (over 65).

5.1 *Conditions for receipt*

- a) Tax credits are granted to people who rent a house and are means-tested.
- b) Rent subsidies for rented houses are granted whenever the household taxable income falls short of twice the amount of the statutory minimum pension ($\text{ITL } 9.605.700 \times 2 = \text{ITL } 19\,211\,400$ per year) and the rent exceeds 14 per cent of this income. These are minimal requirements which can be modified at local level.
- c) Limited rents -- known as social rents -- for people with low-income (below twice the amount of the statutory minimum pension), are set for some categories of State-owned dwellings. Family size and different household needs are considered as eligibility conditions. The claimants are ranked by eligibility conditions on a list which is prepared by municipalities.
- d) State-owned dwellings, specifically those belonging to Social Security State Agencies, are generally rented to public sector employees, both at national and at local level.

5.2 Calculation of benefit amount

- a) The yearly housing tax credit is ITL 960 000 (ITL 640 000 in 1999) if the personal taxable income is less than ITL 30 million per year. It amounts to ITL 480 000 (ITL 320 000 in 1999) if the personal taxable income ranges between 30 and ITL 60 million per year.
- b) Rent subsidies for rented houses differ in eligibility conditions and benefit amounts at the regional and municipality level. In the Lazio region (in particular in Rome), for instance, rent subsidies for rented houses are topping-up transfers for those who pay a rent exceeding 14 per cent of their income, up to a ceiling of L 6 million per year. For households with disabled or old people (over 65) and with needs implying a significant risk of social exclusion, both the ceiling-related and the income-related eligibility conditions are increased by 25 per cent. Those subsidies are non-taxable.

The maximum amount varies with the size of the city population. In Lombardia, for example, the maximum amount is ITL. 6.5 million in municipalities with more than 300 000 residents while it is only ITL. 4.5 million in municipalities with less than 50 000 residents. Moreover, in Lombardia eligibility depends not only on the income level (as in Lazio), but also on the wealth of the household (the means-testing is operated by a partially modified *ISE*). Besides, the maximum amount is increased by 30 percent for every point of the equivalence scale reported in Table 2 above 1.57 (in Lazio, no equivalence scale is used).

- c-) Rent-limiting legislation is finalised to set a social rent, the amount of which is subject to regional provisions. For example, in Tuscany the social rent corresponds to 7 per cent of the household income (taxable income, merely including tax credits for all dependent relatives) stemming from labor, pensions, unemployment benefits, social assistance benefits.
- d) The rent paid for State-owned dwellings varies according to the house characteristics, but they are generally set under the market-value.

6. Family benefits

6.1 Conditions for receipt

- a) Family allowances. The benefit is means-tested against the total household taxable income. A household is defined as the recipient, his/her spouse, and his/her dependent child/children under 18. Note that a low-income couple with no children is eligible for the benefit. The family allowance scheme grants cash transfers to families of employees and former-employee pensioners and unemployment benefit recipients.
- b) Maternity allowances, enacted in 1999, are addressed to mothers with children below 1 year of age. Mothers must not be insured and must have an *ISE* below a given threshold. Generally speaking, beneficiaries are unemployed housewives or job seekers.
- c) Allowances to households with at least three children under 18, enacted in 1999, are addressed to households with at least three children younger than 18, whose *ISE* lies below a given threshold.

The relationship between these benefits and the assistance envisaged in Section 4 lies in its eligibility conditions. All of them are means-tested, though their definition of gross taxable income is

different. Moreover, in the case of family allowances to families of employees and pensioners, the income brackets determining eligibility are not linked to any equivalence scale.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family allowances are single cash transfers granted to each family. The benefit varies with the number of family members and is inversely connected to the household taxable income (see the three following Tables, Table 3 to Table 5, on the benefits granted in the period July 1, 2001 – June 30, 2002). The benefit is paid by employers on behalf of the National Social Security Institute (*Istituto Nazionale per la Previdenza Sociale*, INPS) and the income brackets are yearly adjusted to the consumer price index.

Table 3. Family allowances for married couples* without children (thousands of ITL per year)

Household taxable income		Number of family members						
		1	2	3	4	5	6	7
0-20,456			1,080	1,920	2,760	3,600	4,440	5,280
20,457	-		840	1,680	2,400	3,360	4,320	5,040
25,569								
25,570	-		600	1,320	2,040	3,000	4,200	4,800
30,682								
30,683	-		240	960	1,680	2,640	3,960	4,560
35,793								
35,794	-			600	1,320	2,400	3,840	4,320
40,905								
40,906 - 46019				240	960	2,040	3,600	4,080
46,020	-				600	1,440	3,240	3,720
51,131								
51,132	-				240	840	2,880	3,360
56,242								
56,243 -61,353						240	2,520	3,120
61,354	-						1,200	2,760
66,466								
66,467	-							1,200
71,579								

* Married couple with no children or couple with dependent relatives.

Table 4. Family allowances for married couples with at least one child (thousands of ITL per year)

Household taxable income	Number of family members						
	1	2	3	4	5	6	7+*

0 - 21,536	3,036	5,820	8,340	11,436	14,400
21,537 -	2,664		7,896		
26,649		5,124		11,184	13,956
26,650 -	2,148		7,272		
31,761		4,428		10,992	13,572
31,762 -36,871	1,524		6,576		
		3,672		19,548	13,128
36,872 -41,985	1,020		5,616		
		2,592		9,468	11,796
41,986 -47,097			5,052		
	600	1,896		9,084	11,352
47,098 -			4,104		
52,211	360	1,332		8,460	10,848
52,212 -57,321			3,156		
	360	900		7,884	10,212
57,322 -62,433			2,388		
	300	600		7,380	9,900
62,434 -67,544			2,136		
	300	600		5,232	9,264
67,545 -72,659			2,136		
	300	540		3,588	6,804
72,660 -77,771			1,824		
		540		3,588	5,088
77,772 -82,884			1,824		
		540		3,072	5,088
82,885 -87,996			1,824		
				3,072	4,392
87,997 -93,110					
				3,072	4,392
93,111 -98,224					
					4,392

Table 5. Family allowances for lone parents (thousands of ITL per year)

Household taxable income	Number of family members						
	1	2	3	4	5	6	7+*
0 - 24,944		2,316	4,296	9,576	12,876	16,836	20,724
24,945 -30,057		1,848	3,828	8,652	12,348	16,632	20,196
30,058 -35,167		1,260	3,168	7,728	11,424	16,308	19,608
35,168 -40,280		540	2,376	6,732	10,560	15,708	19,080
40,281 -45,394		480	1,716	5,352	9,372	14,328	17,292
45,395 -50,506		480	1,128	4,428	8,580	13,800	16,764
50,507 -55,618			792	3,696	7,332	13,008	16,104
55,619 -60,730			792	3,168	6,072	12,276	15,312
60,731 -65,841			660	2,772	5,148	11,616	14,856
65,842 -70,956			660	2,772	4,752	8,784	14,064
70,957 -76,075			660	2,376	4,752	6,600	10,824
76,076 -81,179				2,376	4,092	6,600	8,580
81,180 -86,293				2,376	4,092	5,676	8,580
86,294 -91,406					4,092	5,676	7,392
91,407 -96,520						5,676	7,392
96,521 - 101,632							7,392

* For families with more than 7 members, family allowances are increased by L 1.248 million per each subsequent child.

Maternity allowances amount to ITL 500 000 per five months (ITL 2.5 million per year)⁴ and is granted to mothers whose *ISE* (see section 1, note 1) lies below a threshold. Insured mothers receiving maternity benefits smaller than that amount are entitled to receiving the difference. The threshold has been fixed by the law with reference to a three-member family: in this case mothers can receive the allowance in 2001 if their *ISE* is below ITL 52 120 800. The threshold is modified according to the equivalence scale in Table 2: for example, it rises to ITL 63 066 200 (that is ITL 52

⁴ The amount was ITL 200 000 per month till the end of 2000.

120 800 x 2.46/2.04) and to ITL 72 969 100 (that is ITL 52 120 800 x 2.85/2.04⁵) respectively for households with four or five members.

The allowance to households with at least three children aged -18 is equal to ITL 208 483 per month (ITL 2 710 279 per year), and is granted to households whose *ISE* lies below a threshold. The threshold has been fixed by the law with reference to a five-member family: in this case households can receive the allowance in 2001 if their *ISE* is below ITL 37 526 976. The threshold is modified according to the equivalence scale in Table 2: for example, it corresponds to ITL 32 273 200 (that is ITL 37 526 976 x 2.46/2.85), and to ITL 42 030 200 (that is 37 526 976 x 3.2/2.85) respectively for households with four or six members.

Moreover, the whole annual benefit -- worth ITL 2 710 279 -- is provided in the case whereby the total *ISE* is smaller than or equal to the difference between the threshold and twice the value of the maximum benefit. For instance, a five-member family whose total income is less than or equal to ITL 32 106 418 -- which corresponds to the threshold (ITL 37 527 976) minus twice the benefit (ITL 2 710 279 x 2) - is entitled to the whole benefit. In the case whereby the total *ISE* falls within the difference between the threshold and the threshold minus twice the maximum benefit, the allowance corresponds to the difference between the threshold and the total *ISE*⁶. In our example, assuming the total *ISE* as equalling ITL 33 million - which falls between ITL 37.5 and 32.1 million -- the allowance equals (ITL 37 527 976 - 33 million) = ITL 4 527 976. Both allowances and the corresponding thresholds are yearly adjusted to the consumer price index. Both benefits are administered at the local level and provided by INPS on behalf of municipalities.

6.2.2 *Income and earnings disregards*

Total household taxable income is considered in assessing family allowances benefits; however, the benefit is granted only if at least 70 per cent of the income stems from wages and salaries and former-employees' pensions.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

Both the income brackets and the amounts of allowances to employees and pensioners are modified whenever there are disabled people and /or lone parents within the family.

The scale of equivalence set for mother allowances and for allowance to households with at least three children is modified when there are disabled people and /or lone parents within the family and/or when both parents work (see table 2). Moreover, households with disabled members and/or with children have a priority right for the minimum income support benefit.

⁵ The ratios between the parameters are always rounded to the second decimal (for instance, 1.397 becomes 1.40).

⁶ Until the end of 2000 the allowance corresponded to half this difference.

Free books are provided to students belonging to families with total annual household income below ITL 30 million. The household total income corresponds only to the taxable income of all family members (and does not include any proportion of net wealth). Different deductions are allowed: ITL 2.5 or 3.5 million respectively if the household does not own any house in the place of residence or any house in any place whatsoever; L 1 million for the second child; ITL 1.5 million for the third child; ITL 2 million for any subsequent child or any other member; ITL 2 million for each disabled member of the family.

7. Child-care benefits

Child-care services are essentially nurseries for children below 3 years of age. They are provided according to rules set by regional laws and implemented at municipal level with different criteria. Those measures mainly consist of in-kind means-tested benefits. Generally speaking, the household income and composition are considered to rank eligibility and fees.

8. Employment-conditional benefits

Family allowances to employees are described in Section 6.2.1. These are in-work benefits except for the case of former employees (as pensioners or unemployment benefit recipients) who are also entitled.

Another form of employment-conditional benefit – delivered through the tax system – is the tax credit for employees described in Section 10.1.1.2.

Supplementary benefits (*integrazioni al minimo*) for low-income households are granted to recipients of old-age and survivors' pensions whenever their accrued benefits fall short of a statutory minimum, set equal to ITL 9.605.700 per year in 2001. Eligibility for supplementary benefits is subject to the requirement that the claimant's personal taxable income -- if married, that both partners' cumulated incomes -- be below a given threshold. While the 1995 pension reform abolished supplementary benefits for new enrollees, no changes were introduced for all other cases.

Since 1998 self-employed women have been entitled to a birth allowance (*una tantum*), the amount of which depends on the contribution amount for disability and survivor's insurance.

Moreover, this category of workers, provided they are enrolled in the special pension funds for self-employed run by INPS, are entitled to family allowance benefits, as shown in Section 6.2.1.

9. Lone-parent benefits

See family benefits in Section 6.

10. Tax system

10.1 Personal Income Tax

10.1.1. Central government income tax

10.1.1.1 Tax unit

Spouses are taxed separately.

10.1.1.2 Tax allowances and tax credits

Standard tax credits

- Dependent spouse: provided that the spouse's income does not exceed ITL 5 500 000 a tax credit is allowed, according to income brackets as follows:

Income brackets (x ITL 1000)	Tax credit (ITL)
0 – 30 000	1 057 552
30 000 – 60 000	961 552
60 000 – 100 000	889 552
100 000 and over	817 552

- Children: A tax credit, that varies according to the number of children, is granted to parents. This tax credit is due in full to only one parent, if the spouse is not dependent, the tax credit is shared between the parents either at 50% or according to a different percentage agreed by them.

Tax credit allowed to each spouse for dependent children (equal to 50% of the total amount allowed. e.g.: with 1 child the total amount is equal to 552 000 or 516 000 but only 276 000 or 258 000 is granted for each parent)

1 child ITL. 276 000 (income up to ITL 100
ITL. 258 000 (income over ITL. 100

2 children ITL. 584 000

Tax credit for dependent children in case of widowed spouse or parent with a not acknowledged child for an income up to ITL. 30 000 000

1 child ITL. 1 057 552

2 children ITL. 1 673 552⁷

⁷ In assenza di risoluzioni interpretative da parte del Ministero, il calcolo della detrazione dei figli a carico, nel caso di famiglia monoparentale, è stato fatto dando al primo figlio la detrazione per il coniuge (es. 1.057.552) ed al secondo figlio la detrazione per i figli oltre il primo (es. 616.000)

	ITL. 516 000		
3 children	ITL. 892 000	3 children	ITL. 2 289 552
	ITL. 774 000		
4 children	ITL 1 200 000	4 children	ITL. 2 905 552
	ITL. 1 032 000		

- Other members of the family: a tax credit of ITL 276 000 (up to ITL. 100 000 000) or ITL. 258 000 (over ITL. 100 000 000) is granted for other dependents, provided the dependant's income does not exceed ITL 5 500 000. A dependent is deemed to be any person entitled to maintenance allowances (e.g.: parents, mother and father-in-law) under civil law.
- Tax credit for employees: it varies from a sum of ITL 2 220 000 foreseen for an income up to ITL 12 000 000 to a sum of ITL 100 000 for an income over ITL 100 000 000 (twentytwo brackets).

Principal non standard tax allowances and tax credits

- Social security contributions due by law
- Rents, annuities and other charges burdening income deriving from immovable property
- Periodical benefits allowed to the spouse fixed by judicial authority
- Periodical benefits (life annuities and so on), allowed by will, gift, judicial authority
- Charitable donations to some religious institutions (up to ITL 2 000 000)
- Medical and assistance expenses incurred by handicapped persons
- Principal residence income exempted for the total amount of the cadastral income
- Donations to political parties (ranging from ITL 100 000 to ITL 200 000 000)
- Expenses to restore one's own residence house at 36 per cent of full expenses, shared in 5 or 10 annual allowances of the same amount. A temporary reduction in the standard rate of VAT of 20% to 10% applies to the renovation and repair of private dwellings, excluding materials which form a significant part of the value of the supply
- Credit for leaseholders of principal residence (a sum of ITL 960 000 for an income up to ITL 30 000 000 and a sum of ITL 480 000 for an income up to ITL 60 000 000)

As to the following expenses, a tax credit of 19 per cent of each incurred expense is allowed:

- Mortgage loan interest (up to ITL 3 500 000 or ITL 7 000 000 according to circumstances)

- Most of medical expenses for the part exceeding ITL 250 000
- Life and accident insurance premium and voluntary contributions up to ITL 2 500 000
- Expenses to attend secondary school and university courses; in case such courses are private, the expenses allowed cannot exceed those foreseen as to State courses
- Funeral charges up to ITL 3 000 000
- Charitable donations to Non-Profit Organisations (up to ITL 4 000 000).

10.1.1.3 Tax schedule

The following tax schedule is applied to taxable income:

Bracket (ITL x 1 000)	Rate (%)
up to 20 000	18
from 20 001 up to 30 000	24
from 30 001 up to 60 000	32
from 60 001 up to 135 000	39
over 135 000	45

The legislative Decree n.446/97 enacts a regional rate to be added to the rate of personal income tax rate. This rate is 0.9% for 2001.

11. Compulsory Social Security

Employee contributions

a) Rate and ceiling

- The average rate charged to a dependent worker is 9.19 per cent up to ITL 68 048 000
- The average rate charged to a dependent worker is 10.19 per cent over ITL 68 048 000

12. Policy developments

12.1 Policy changes introduced during the last year

- The main changes in the tax system concern the personal income tax rates and brackets.

- The main changes in the benefit system introduced in year 2000 -- starting December 1 -- comprise an increase in the replacement rate of ordinary unemployment benefits from 30% to 40% of the average gross earnings received over the last three months (limited to unemployed satisfying ordinary requirements) and an increase in the benefit duration from 6 to 9 months for the unemployed over 50 years of age.
- Parental leave and benefits reform was started in 2000. More flexibility was introduced both on the demand and on the supply side. Employees can subdivide the same period of paternal benefits over a longer period as they are entitled to benefits up to a higher children age; besides a 50% reduction on social contributions is granted to small firms for new workers hired to temporarily replace employees on parental leave.
- Procedures for placements and active labour market policies were enforced together with the reorganisation of job placement. The reform does intervene on the so-called “risk brackets”, particularly young, long-term unemployed and female job-seekers so as to help their re-insertion in the active life.
- Part-time law. In 2000 the law has been reformed, following the agreement reached at European level by social parties. The final objective of the reform is to increase the share of part-time contracts in Italy, to implement their wider use in public sector, to reduce the rigidity of their utilisation without damaging the worker's conditions. The law is promoting part-time throughout the simplification of administrative and procedural mechanisms, the introduction of “flexible” clauses and higher financial incentives.
- Conversion of severance pay into shares or bonds issued by the firm, to be deposited within the pension fund joined by the firm. This reform covers all private sector employees, on a voluntary basis and in the sectors in which occupational pension funds have been activated. It began in 1999 and will end in 2002 included. Italy is trying to create and develop its private pension system based on pension funds and the reform represents a way to encourage pension funds in addition to fiscal incentives.
- Maternity allowances were increased to ITL 300 000 for five months.
- A tax credit increase was granted to dependent workers, dependent spouses, children and other dependent relatives. A further tax credit for children under 3 years of age was introduced for an amount of ITL 204 000 per year.
- Tax credits for rented houses were raised up to ITL 640 000 if the household taxable income is less than ITL 30 million per year and to ITL 320 000 if the household income ranges between ITL 30 and 60 million per year.
- Social allowances - a means-tested benefit to people aged 65 or more (see Section 4) - were augmented to ITL 8.592 million per year.
- Supplementary benefits to pensions below the statutory minimum were raised to ITL 9.625 million per year.
- The health care reform was introduced in 1999 aimed at improving health care quality and efficiency through the introduction of new rules and regulation in the NHS organisation,

through specific interventions on assistance levels; public-private relation; NHS integrative funds; medical staff; integration and districts; corporatisation; funding.

- A general policy law was introduced (Law n. 328 of November 8, 2000): it enunciated the principles of the social assistance reform. The law reorganises the set of existing rules on social assistance and introduces new interventions. In particular, the main interventions are for the individual or family poverty. It also provides an integrated service network (either economic and/or in-kind) to support families, even on a temporary basis.

12.2 Policy changes announced

- Starting from 2001, family allowances will be granted to self-employed workers enrolled in the special pension funds for self-employed workers run by INPS.
- The whole annual benefit for a household with at least three children aged less than 18 will be provided in the case whereby the ISE is smaller than or equal to the difference between the threshold and the value of the maximum benefit.
- In 2001, maternity allowance will increase to ITL 500 000 per five months.
- The Budget Law approved by Parliament at the end of year 2000 proposes some changes, namely:
 - a) In 2000, there will be a slight variation in the first bracket of the taxable income going from ITL 0 - 15 million to ITL 0 - 20 million; tax credits for work-related expenses (both for dependent workers and for self-employed) will be raised; the first house income will be totally exempted from personal income tax.
 - b) In 2001 and 2002, there will be a reduction in marginal tax rates in the different taxable income brackets; a tax credit increase for children and other dependent relatives.
 - c) In 2001, tax credits for rented houses will be raised to ITL 960 000 if the personal taxable income is less than ITL 30 million per year and to ITL 480 000 if the personal income ranges between ITL 30 and 60 million per year.
 - d) The experimental period for the minimum income support, currently adopted in 39 Italian municipalities up to 2000, will be prolonged till the end of 2002. In addition, beneficiaries will be some depressed areas where region-specific policy interventions (known as *patti territoriali*) are already effective.
 - e) Since 2001 supplementary benefits to pensions below a statutory minimum will be increased by ITL 80 000 per month for people under 75 and by ITL 100 000 per month for people over 75.
 - f) Since 2001 the tax credits already granted to pensioners will be enlarged to people over 75 who benefits from land income. The amount of this tax credit will not exceed ITL 360 000.

In 2001 and 2002 the major changes concerning the Italian tax and benefit system were the following:

- a) In the Budget Law for 2002, passed at the end of 2001, pensions falling below a statutory minimum of Euro 6 714 were increased up to this minimum through a mechanism of “social supplements” (*maggiorazioni sociali*). This increase in the social supplements was limited to people over 70 and to disabled over 60, with some exceptions linked to the previous employment career of the pensioners⁸.
- b) The Budget Law for 2003 will introduce major changes in the tax system, consisting in increased tax allowances for lower income groups. The no-tax area has been enlarged.
- c) The RMI – see Section 4 – will be terminated at the end of 2002, without further extension of the trial. The Government has announced the intention of introducing new social assistance schemes administered at regional level.
- d) During 2003 the unemployed benefit system will be deeply changed, following an agreement with most of the social partners (the so-called, *Patto per l'Italia*, not signed by the greatest trade union). The ordinary unemployment benefits will be increased with a mechanism of phasing-out, namely: 60% of previous wage in the first six months of unemployment, 40% in the subsequent three months, 30% for the last three months. Hence, the maximum duration will be extended from 6 months (see Section 2.4) to 1 year. However, unemployment benefits (of all kinds) will not be paid for more than 24 months (30 in the Mezzogiorno) in 5 years. A close link with active labour market policies will be established.

⁸ The age limit of 70 years in order to receive the increase in the social supplement can be reduced of 1 year every 5 of social contributions paid, up to a new age limit of 65 years.